



Finance Case Research Club
Team Camelot



Capital Raising Alternatives for Domestic Conglomerates – Case Study of E-mart/SSG

September 26, 2024

Fall 2024
Taekwon Jeong

Table of Contents

I. Situation

1. Situation overview
2. Potential options

II. Divestiture of subsidiaries

1. Strip profile of selected subsidiaries
2. Transaction comparables for SSG L&B
3. Divestiture considerations for Starbucks Korea
4. Evaluation of two options

III. Debt financing

1. Company overview 1
2. Company overview 2
3. Debt financing capacity analysis of E-mart
4. Debt financing capacity analysis of SSG

IV. Resolution

1. E-mart/SSG PRS case study

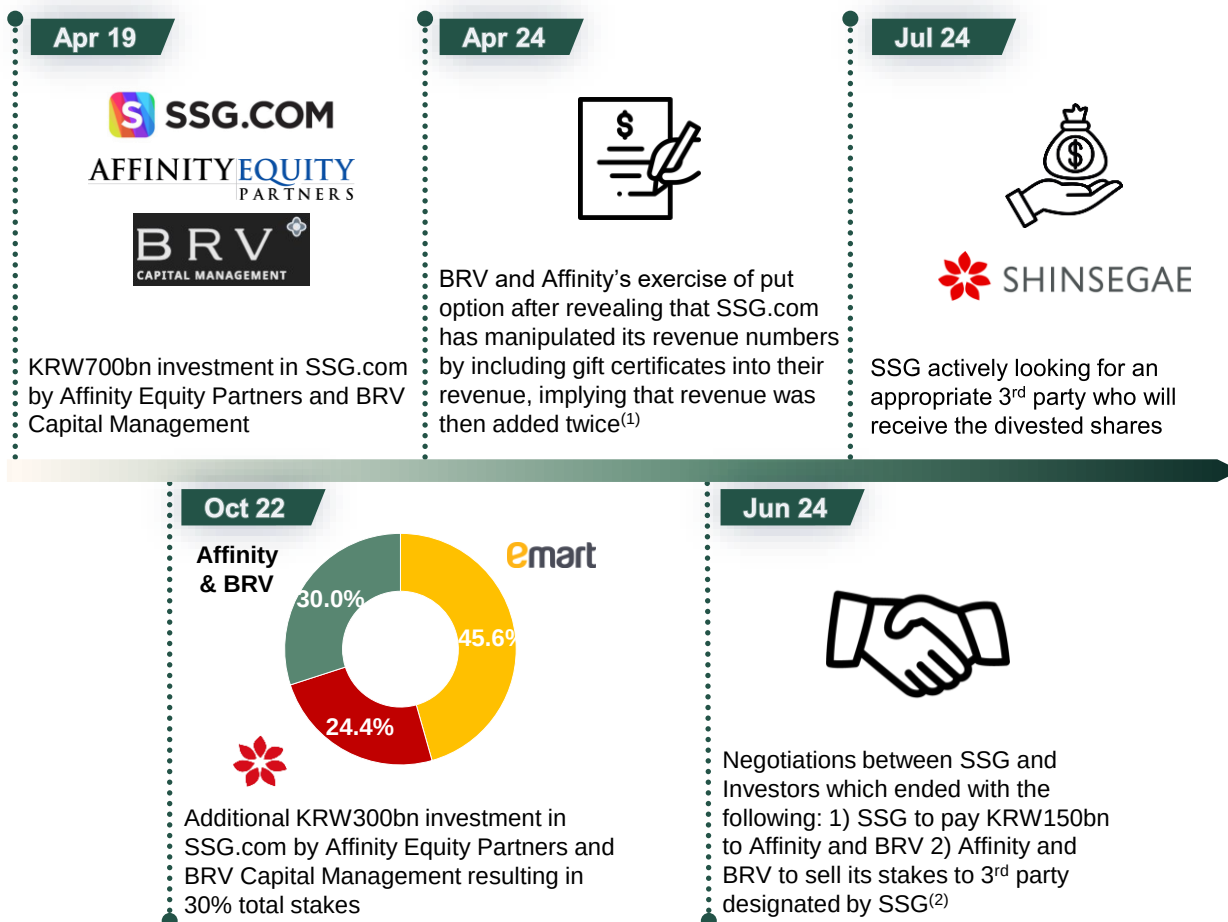
I . Situation

1. Situation overview
2. Potential options

Situation overview

After Affinity & BRV's request to exercise their put option, SSG must either find a 3rd party investor or self acquire the 30% stakes by the end of 2024 at the latest

Timeline of events



Potential measures for SSG

What	Probability	Rationale
Sale of 30% Affinity & BRV's stakes to a 3 rd party	Low	- Frankly, SSG.com is current trailing behind in the e-commerce industry with the rise of global competitors like Coupang and AliExpress - SSG.com's IPO being delayed serves as a risk to investors for they will not anticipate an IPO in the near future
SSG to purchase the 30% stakes post KRW1.2tn capital raising	Mid ~ High	- The only option available for SSG is to self acquire the 30% stakes - For the sale of Affinity & BRV's stakes is for certain, this is the only plausible option remaining

Source: Market Intelligence

Note: (1) Initial agreement between 2 counterparties that the investor has the right to exercise put option upon meeting of either of the 2 conditions: 1) IPO requirements unmet 2) total transaction volume below KRW 5.16 tr until 2023

Potential options

Within the various capital raising options, current most probable methods anticipated to be utilized is mezzanine and derivatives

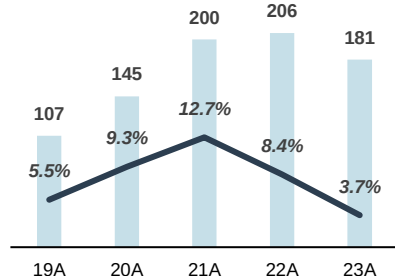
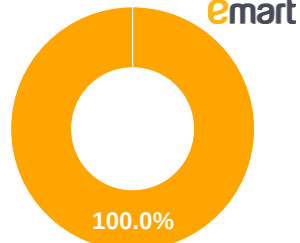
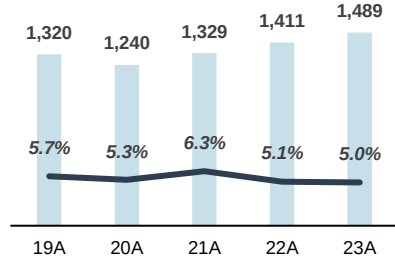
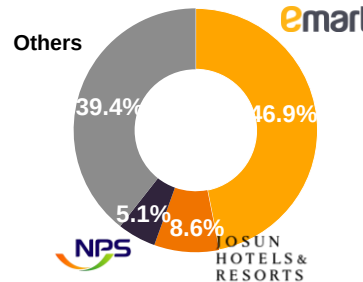
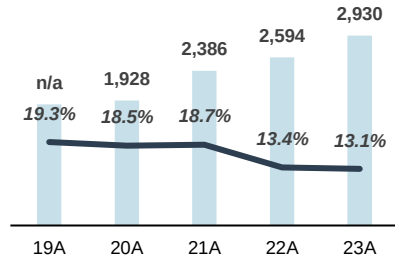
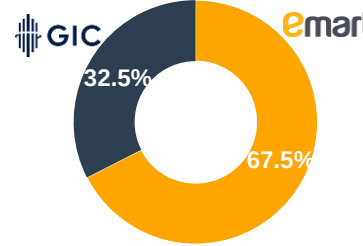
What	Description	Pros	Cons	Probability	Rationale
Common equity 	- Issuing common shares to raise capital, typically in an IPO or secondary offerings	- No repayment obligations, unlike debt - Can strengthen balance sheet and improve liquidity	- Dilutes ownership, which can reduce existing shareholders' control and EPS - Dividend payments	Low	- SSG.com has already experienced a delay in IPO + currently they are in an urge due to need of meeting deadline by end of 2024
Mezzanine 	- A hybrid form of financing that combines debt and equity features.	- Cheaper than debt - Allows a company to raise capital without diluting ownership	- Failure to meet payments can lead to lender converting loan to equity, leading to dilution	High	- Has all the advantages of debt capital raising + cheaper than debt
Sale & re-lease of real estate 	- Company sells its real estate assets to raise cash and then leases back to retain operational use	- Provides immediate liquidity without disrupting operations	- Loss of ownership and potential appreciation of real estate assets	Low	- Higher interest rate leading to less potential buyers leading to de-facilitation of real estate market
Divestment of subsidiaries 	- Selling off parts of the company, such as business units or subsidiaries to raise capital	- Allows the company to focus on its core business, improving operational efficiency	- Loss of potential future profits from divested subsidiaries	Low	- Only applicable option would be Starbucks Korea but executive unwilling to sell
Debt 	- Borrowing money either through issuing bonds or obtaining loans	- Interest payments tax deductible - Relatively cheap	- Requires regular interest and principal payments, which can strain cash flow	Mid	- Company is capable of issuing bonds; however, financial stability ratio affected
Derivatives 	- Using derivatives like TSR and PSR that is an equity investment but acts like debt	- Does not require immediate cash outlay - Can be structured to incentivize firm's needs	- If poorly structured, can lead to excessive compensation	High	- Similar mechanism to that of debt but without the effect on balance sheet

II. Divestiture of subsidiaries

1. Strip profile of selected subsidiaries
2. Transaction comparables of SSG L&B
3. Divestiture considerations for Starbucks Korea
4. Evaluation of two options

Strip profile of selected subsidiaries

Subsidiaries that are potential subjects to be sold are SSG L&B, SSG Food, and Starbucks Korea each with a different business model

Company	Business description	Revenue & EBITDA margin	Ownership structure	Latest valuation																		
	Shinsegae L&B., Ltd. operates as a liquor and beverage distribution company in South Korea - As a subsidiary of Shisegae Inc. founded in 2008, the company is headquartered in Seoul	(KRWbn, %)  <table><thead><tr><th>Year</th><th>Revenue (KRWbn)</th><th>EBITDA Margin (%)</th></tr></thead><tbody><tr><td>19A</td><td>107</td><td>5.5%</td></tr><tr><td>20A</td><td>145</td><td>9.3%</td></tr><tr><td>21A</td><td>200</td><td>12.7%</td></tr><tr><td>22A</td><td>206</td><td>8.4%</td></tr><tr><td>23A</td><td>181</td><td>3.7%</td></tr></tbody></table>	Year	Revenue (KRWbn)	EBITDA Margin (%)	19A	107	5.5%	20A	145	9.3%	21A	200	12.7%	22A	206	8.4%	23A	181	3.7%		n/a
Year	Revenue (KRWbn)	EBITDA Margin (%)																				
19A	107	5.5%																				
20A	145	9.3%																				
21A	200	12.7%																				
22A	206	8.4%																				
23A	181	3.7%																				
	Shinsegae Food Inc. engages in food manufacture, food distribution, eating & drinking, and consignment meal service businesses in South Korea. - The company was founded in 1979 and is based in Seoul	(KRWbn, %)  <table><thead><tr><th>Year</th><th>Revenue (KRWbn)</th><th>EBITDA Margin (%)</th></tr></thead><tbody><tr><td>19A</td><td>1,320</td><td>5.7%</td></tr><tr><td>20A</td><td>1,240</td><td>5.3%</td></tr><tr><td>21A</td><td>1,329</td><td>6.3%</td></tr><tr><td>22A</td><td>1,411</td><td>5.1%</td></tr><tr><td>23A</td><td>1,489</td><td>5.0%</td></tr></tbody></table>	Year	Revenue (KRWbn)	EBITDA Margin (%)	19A	1,320	5.7%	20A	1,240	5.3%	21A	1,329	6.3%	22A	1,411	5.1%	23A	1,489	5.0%		~418.9KRWbn ⁽¹⁾
Year	Revenue (KRWbn)	EBITDA Margin (%)																				
19A	1,320	5.7%																				
20A	1,240	5.3%																				
21A	1,329	6.3%																				
22A	1,411	5.1%																				
23A	1,489	5.0%																				
	Starbucks Korea has grown into a leading company in the industry by starting with the first store in Ewha Womans University in 1999 - In December 2021, the legal entity name was changed from Starbucks Korea to SCK Company	(KRWbn, %)  <table><thead><tr><th>Year</th><th>Revenue (KRWbn)</th><th>EBITDA Margin (%)</th></tr></thead><tbody><tr><td>19A</td><td>n/a</td><td>19.3%</td></tr><tr><td>20A</td><td>1,928</td><td>18.5%</td></tr><tr><td>21A</td><td>2,386</td><td>18.7%</td></tr><tr><td>22A</td><td>2,594</td><td>13.4%</td></tr><tr><td>23A</td><td>2,930</td><td>13.1%</td></tr></tbody></table>	Year	Revenue (KRWbn)	EBITDA Margin (%)	19A	n/a	19.3%	20A	1,928	18.5%	21A	2,386	18.7%	22A	2,594	13.4%	23A	2,930	13.1%		~ 2.7KRWtn ⁽²⁾
Year	Revenue (KRWbn)	EBITDA Margin (%)																				
19A	n/a	19.3%																				
20A	1,928	18.5%																				
21A	2,386	18.7%																				
22A	2,594	13.4%																				
23A	2,930	13.1%																				

Source: Company Filings, Market Intelligence

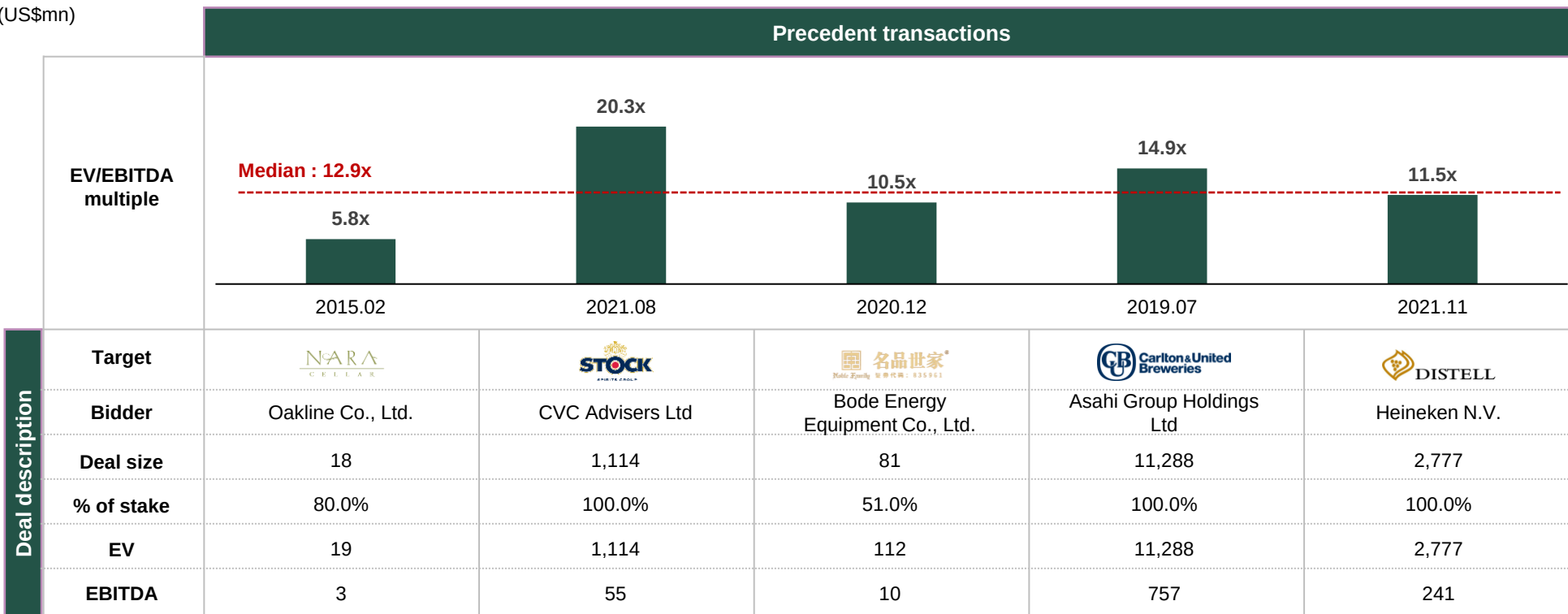
Note: (1) According EV calculation using current market cap (2) EV according to 2021 transaction where E-mart additionally acquired 17.5% stakes from Starbucks International

Transaction comparables for SSG L&B

Based on precedent transactions, a capital raise of KRW87bn is expected upon the sale of SSG L&B

Comparable transactions

(US\$mn)



SSG L&B 23A EBITDA

KRW6.8bn



Median EV/EBITDA

12.9x



Expected EV

KRW87bn

Based on precedent transaction comparables, a capital raise of KRW87bn upon sale is expected

Divestiture considerations for Starbucks Korea

Albeit Starbucks Korea being a very favorable subsidiary for sale, impediments such as consent from headquarters and executive's unwillingness to sell do exist

Current dynamics regarding potential sale of Starbucks Korea

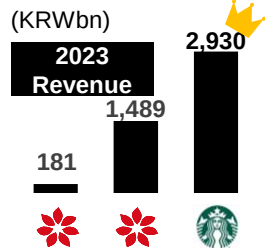
(주) 스타벅스커피 코리아

Drivers

Impediments

1

Best company among existing subsidiaries



- ✓ In order to sell a subsidiary, it must be an appealing target company for the buyers.
- ✓ Starbucks Korea, by far the best coffee franchise in South Korea, stands as the most suitable subsidiary for sale

2

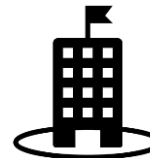
Possibility to receive a sales premium



- ✓ Assuming E-mart sells Starbucks Korea, it is highly likely they will sell more than 17.5% of its stakes along with GIC's 32.5% stake
- ✓ Thus, since they are selling a controlling stake (>50%), a sales premium is to be present

1

Consent from headquarters



- ✓ Starbucks Korea need consent from the US headquarters for major decisions such as selling shares and maintaining licenses
- ✓ When GIC was bought in as a shareholder in the past, headquarters' consent was required

2

Executive's unwillingness to sell



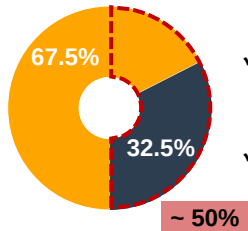
- ✓ Albeit Starbucks Korea being a very compelling target company for buyers CEO of E-mart Chung Yongjin stands firm in keeping the firm
- ✓ Growing by 20x in the recent 20 years, Starbucks remain a huge source of revenue for its parent company E-mart

Evaluation of two options

After careful contemplation of each probable scenarios regarding 1) divestiture of Starbucks Korea and 2) purchase sale of SSG L&B and SSG Food, both cases are highly unlikely to be executed

Evaluation 1: Divestiture of Starbucks Korea

Probable Scenario



- ✓ Market expects that, if subjected to sale, 32.5% GIC stakes + 17.5% or more of E-mart's stake will be sold
- ✓ Current market expected EV is around KRW4tn

Reality



- ✓ Current CEO of E-mart Chung Yongjin, firmly asserts that Starbucks Korea is not for sale
- ✓ The fact that Starbucks Korea is the #1 franchise coffee brand in Korea with yearly rising revenue makes it difficult to put on sale



Execution probability



Low

Evaluation 2: Purchase sale of SSG L&B and SSG Food

Probable Scenario



- ✓ Apart from selling Starbucks Korea, another option is to group sell SSG L&B and SSG Food
- ✓ Expected proceeds from sale of SSG L&B and SSG Food would be KRW506bn

Reality



- ✓ It would be extremely difficult to find a potential buyer for these two firms and complete the transaction before the end of 2024
- ✓ KRW506bn is insufficient to cover the KRW1.2tn capital in current need



Execution probability



Low

III. Debt financing

1. Company overview (1)
2. Company overview (2)
3. Debt financing capacity analysis of E-mart
4. Debt financing capacity analysis of SSG

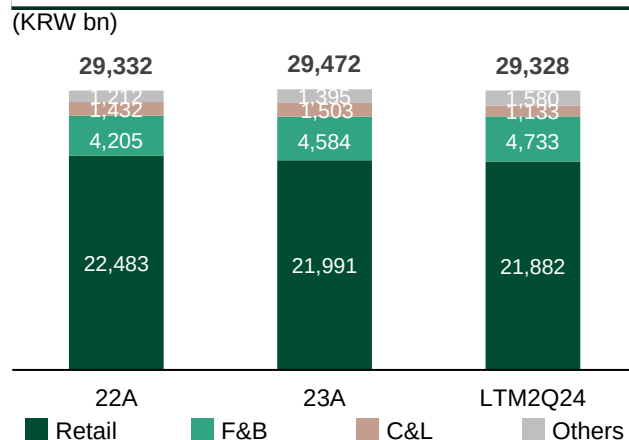
Company overview (1)

E-MART (or the “Company”) is a South Korean hypermarket retail company that mainly operates on retail business, but also expands its horizons on other business sectors like F&B and Construction & Leisure

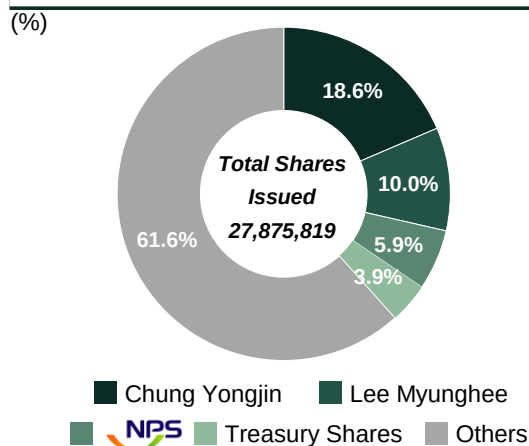
Company Overview

- Founded in 1993, E-MART Inc., together with its subsidiaries, operates as a hypermarket retail company in South Korea
- In 2011, the firm was spun off from Shinsegae Group and listed as an independent entity on the Korea Exchange. This strategic move allowed E-Mart to focus on its core retail business while expanding its market presence domestically and internationally
- Listed on KOSPI, current market capitalization of E-MART is approximately KRW1.7bn
- Company operates E-mart, a discount store, Emart Traders, an everyday low-price store for small business, No-brand, a private label hard discount store, and many more
- Han Chae Yang, former CEO of Josun Hotels & Resorts has been nominated as CEO for E-MART from September 2023

Revenue Breakdown



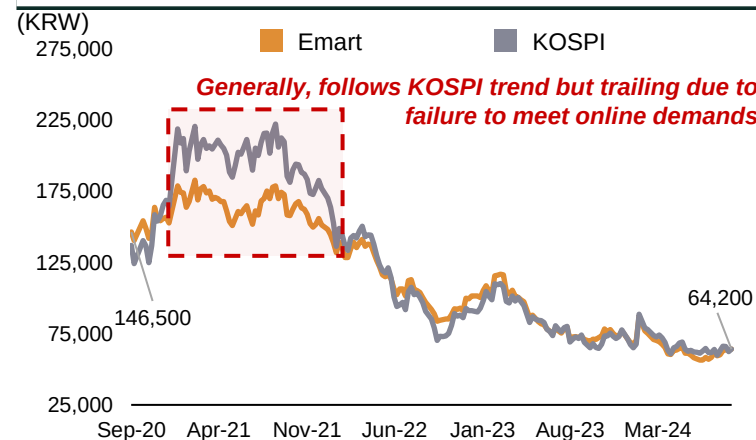
Shareholding Structure



Key Financials

(KRW/bn)	20A	21A	22A	23A	LTM1H24
Revenue	22,033	24,933	29,332	29,472	29,328
% Growth	15.6%	13.2%	17.6%	0.5%	-0.5%
EBITDA	1,223	1,454	1,696	1,549	1,621
Margin (%)	5.6%	5.8%	5.8%	5.3%	5.5%
EBIT	237	317	136	-47	5
Margin (%)	1.1%	1.3%	0.5%	-0.2%	0.0%
Net Income	363	1,589	1,008	-187	-169
Margin (%)	1.6%	6.4%	3.4%	-0.6%	-0.6%
Assets	22,340	31,242	33,202	33,444	34,032
Liabilities	11,844	18,842	19,718	19,610	20,713
Net Debt	4,263	8,407	9,123	9,000	9,370

Stock Performance⁽¹⁾



Company overview (2)

Shinsegae Inc. (or the “Company”) is a South Korean department store company that primarily operates department store, wholesale & retail, and duty-free business

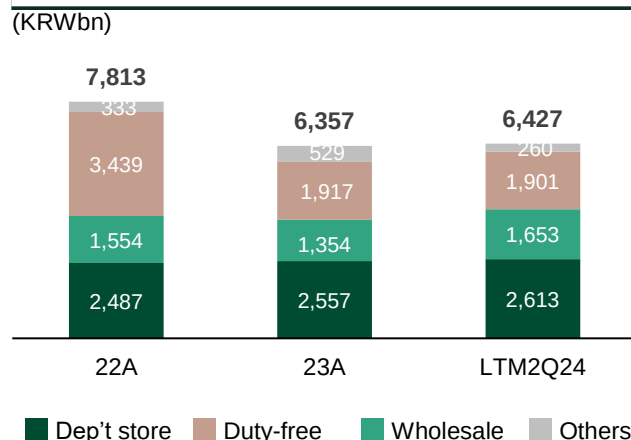
Company Overview

- Founded in 1955, Shinsegae Inc. is a South Korean department store franchise, along with several other businesses, headquartered in Seoul.
- KOSPI listed on 1985, current market capitalization of the firm is approximately KRW1.5bn.
- The firm is an affiliate of SSG Group, South Korea’s leading retail chaebol, and one of the big three department store firms in Korea, along with Lotte and Hyundai Department Store.
- With department store business being their major revenue source, the firm also actively focuses on other business sectors such as wholesale, retail, and duty-free.
- Prior to the firm’s declaration of separation and independent management in 1991, it was owned by Samsung from 1963.

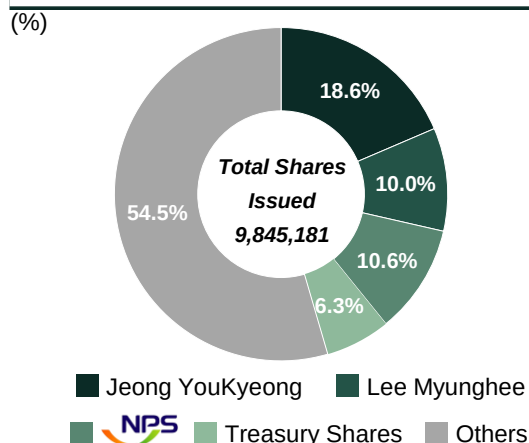
Key Financials

(KRWbn)	20A	21A	22A	23A	LTM1H24
Revenue	4,769	6,316	7,813	6,357	6,427
% Growth	-25.4%	32.4%	23.7%	-18.6%	1.1%
EBITDA	328	418	491	433	87
Margin (%)	6.9%	6.6%	6.3%	6.8%	1.3%
EBIT	88	517	645	640	618
Margin (%)	1.9%	8.2%	8.3%	10.1%	9.6%
Net Income	-69	389	548	312	292
Margin (%)	-1.4%	6.2%	7.0%	4.9%	4.5%
Assets	12,769	13,645	14,348	14,752	15,347
Liabilities	8,412	7,882	8,097	8,412	8,913
Net Debt	2,152	2,025	2,087	2,416	2,527

Revenue Breakdown



Shareholding Structure



Stock Performance⁽¹⁾

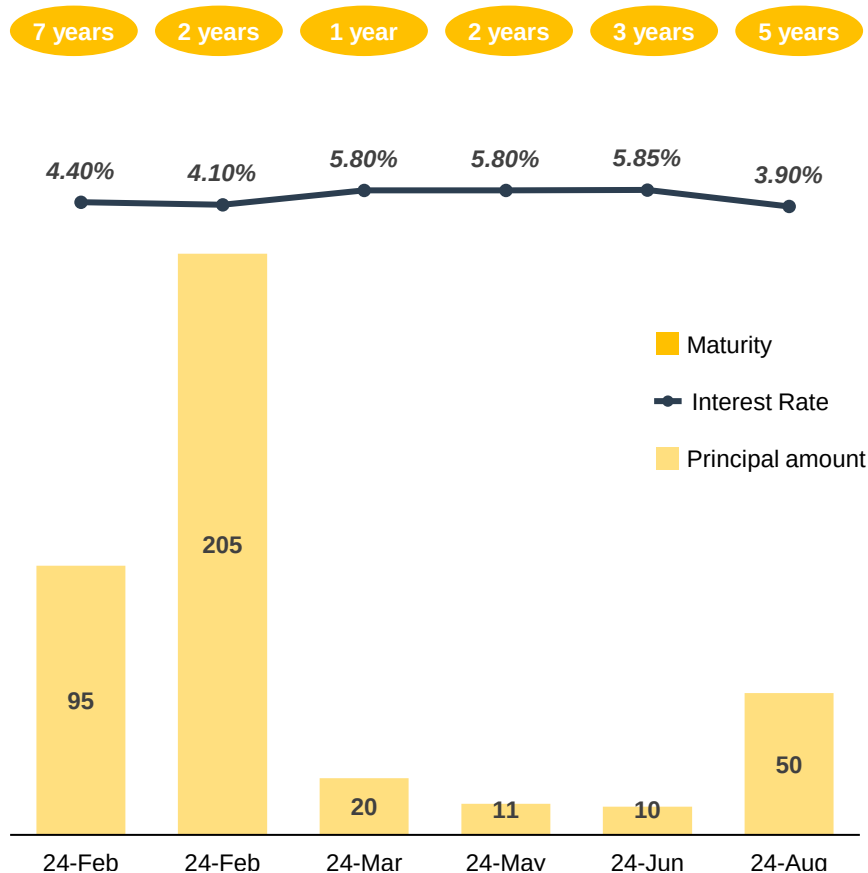


Debt financing analysis of E-mart

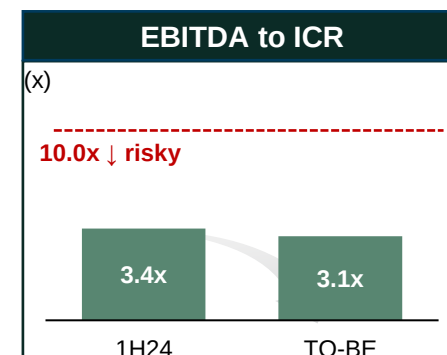
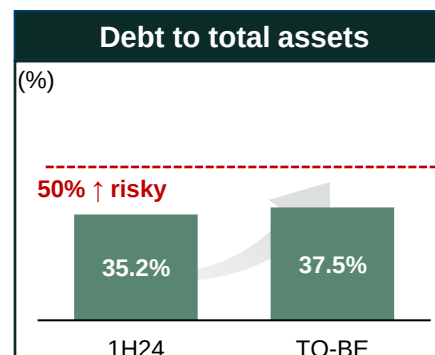
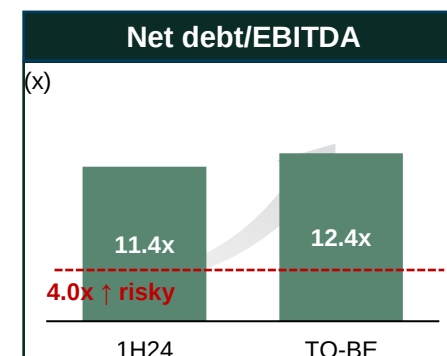
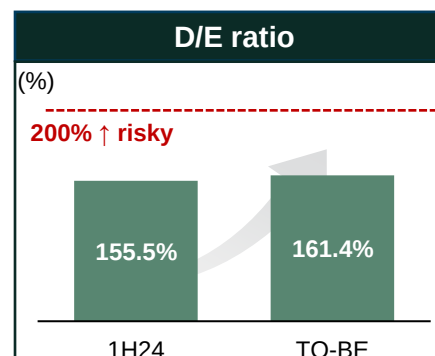
E-mart, with regular issuance of corporate bonds, may suffer from a significant financial stability drop once they issue KRW7817bn⁽¹⁾ worth of corporate bonds

Recent issuance of corporate bonds

(KRWbn, %)



Anticipated impact of KRW1.2tn addition KRW1.2trn



- As shown above, issuance of KRW7,817bn debt will result in a poorer financial stability
- Recent credit ratings drop from AA to AA- will result in E-mart being more reluctant to these financial stability drop

Source: Dart, KOFIA, Market Intelligence

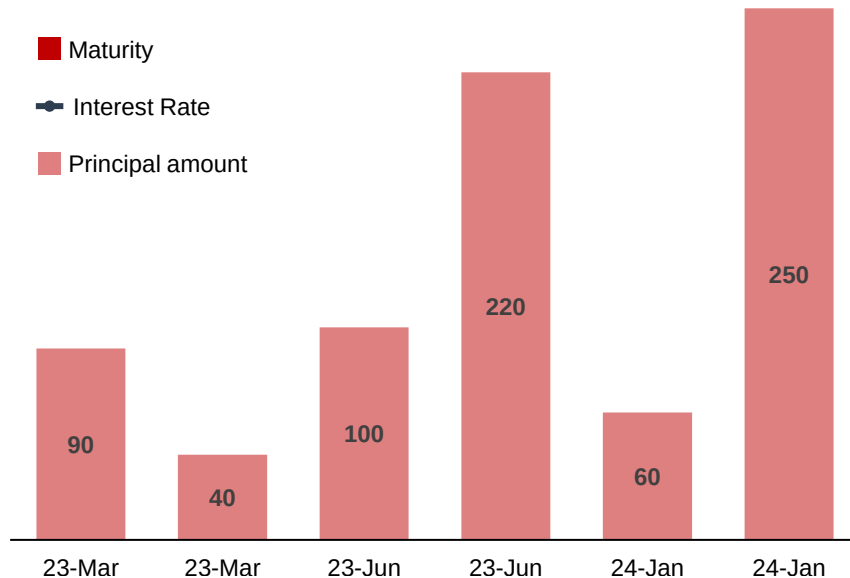
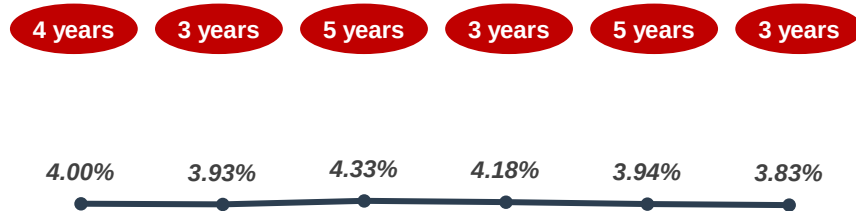
Notes: (1) Amount of bond issuance deduced by SSG.com pro-rata stake holding amount of E-mart and SSG

Debt financing analysis of SSG

SSG, with regular issuance of corporate bonds, may suffer from a significant financial stability drop once KRW4183bn worth of corporate bonds is issued

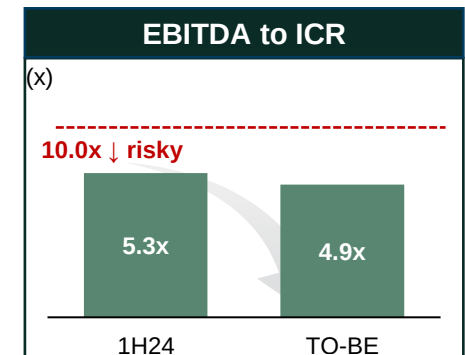
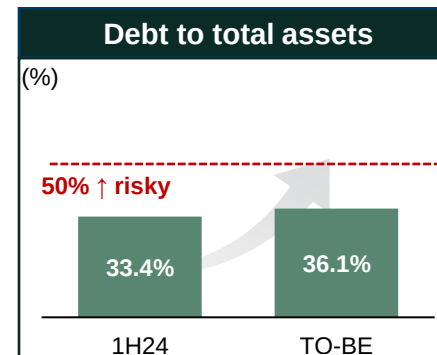
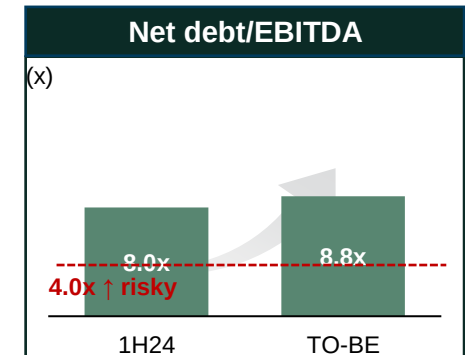
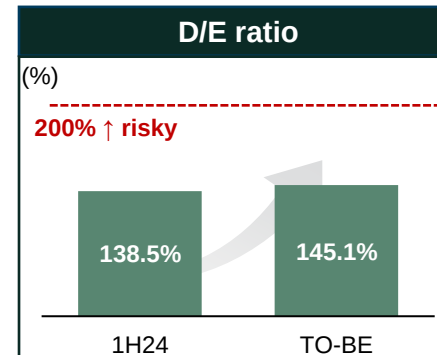
Recent issuance of corporate bonds

(KRWbn, %)



■ Maturity
● Interest Rate
■ Principal amount

Anticipated impact of KRW1.2tn addition KRW1.2trn



- As shown above, issuance of KRW4,183bn debt will result in a poorer financial stability
- In lest of credit ratings drop, firms are highly reluctant of drop in financial stability

Source: Dart, KOFIA, Market Intelligence

Notes: (1) Amount of bond issuance deduced by SSG.com pro-rata stake holding amount of E-mart and SSG

IV. Resolution

1. E-mart/SSG PRS case study

E-mart/SSG PRS case study

SSG.com recently successfully raised capital through PRS method, a method, unlike debt capital raising, where a firm's financial stability ratios remain unaffected

Most recent update of situation

- **September 19, 2024**
 - News reports claim that SSG.com has successfully raised KRW1.2tn of capital
- **April 30, 2024**
 - Affinity & BRV officially asserts that they will exercise put-option due to SSG.com manipulating its revenue numbers

Description

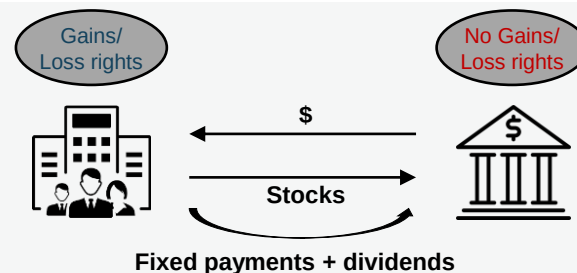
- 1 Total Amount**
 - KRW1.2tn
- 2 Purpose**
 - Capital raise for BRV and Affinity
- 3 Amount and participated parties**
 - Corporate banks like KDB, Shinhan, and etc. – KRW780bn
 - NH Securities and etc. – KRW420bn
- 4 Major conditions**
 - PRS (price return swap method)
 - E-mart and SSG to guarantee a 5~8% annual return
- 5 Repayment plans**
 - IPO of SSG.com within 3 years

Description of price return swap

Definition

A type of derivative in which profit or loss is settled at the contract expiration based on the value fluctuations of the underlying asset

Structure



- *Albeit being a stock exchange, structurally identical to that of debt*

Rationale for choice

Debt and PRS comparison

	Debt	PRS
Interest rate	3~5%	5~8%
Classification	Liability	Equity
Fixed payments	Yes	Yes
Existence of Maturity	Yes	Yes

- *Usage of PRS do not affect the financial stability ratios of the issue since it is categorized as equity*



Finance Case Research Club
Team Camelot